MODULE 02 · CASE STUDY 7 · PRE-READ FOR CLASS 7

Two Cases: One Person, and What Is In Their Head

Twenty Million People, One Person · Two Inches Taller

READ THIS BEFORE CLASS

There are two cases in this document and the next session covers both. The first is about two companies in the same industry, in the same country, in the same years, whose products look nothing alike. The second is about a product that was almost certainly in your kitchen when you were a child, and about what the mothers who bought it for forty years were never asked.

Read them in order, slowly, with a pen. There is nothing to memorise — no definitions, no frameworks, no terms that will be tested. Just two stories, the people inside them, and the numbers underneath. You are not expected to arrive with answers. You are expected to arrive with the stories in your head and a few opinions you are willing to defend out loud.

2	30–35	8
Cases	Minutes to read	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

CASE A

Twenty Million People, One Person

CRED turned almost every Indian away at the door — and slice was built for exactly the people CRED refused

READING TIME: 15–18 minutes

HOW TO READ THIS CASE

Two companies here, in the same industry, at the same time, in the same country, doing what looks like the same thing — helping Indians manage credit cards and credit. Their products look nothing alike.

Resist the urge to judge which product is better. Instead do this: after each company, try to say out loud, in one sentence, **who the customer is.** If your sentence contains only an age range and a city, you have not finished the case yet. And watch for the moments where a product decision — a colour, an invitation, a rejection — becomes obvious once you know who it was built for.

1 The Number That Looked Like a Rounding Error

In 2018, Kunal Shah started CRED. He was not a first-time founder. He had built FreeCharge, a mobile-recharge and payments business sold to Snapdeal in 2015 in a deal reported at several hundred million dollars, and had spent the years afterwards as one of the most-quoted voices in Indian startup circles.

The strangest thing about the new company was the rule it opened with. CRED would only accept users with a credit score above 750. In a country of about 1.4 billion people, that was roughly twenty to twenty-five million individuals — under two per cent of the population. Every instinct of Indian consumer business says this is madness. The playbook of the previous decade was to chase the next hundred million users, price at zero, and worry about revenue later. Kunal Shah did the opposite, publicly, and made the exclusion the first thing anyone heard about the product.

A word on what that number actually is, because it decides the whole case. A credit score — in India usually a CIBIL score, running from 300 to 900 — is a single figure summarising how reliably you have repaid borrowed money. It is built from your history of loans and card bills: pay on time and in full and it climbs; miss, delay or perpetually revolve and it falls. Above roughly 750 a bank will lend to you readily and cheaply. Below about 650 most formal lenders will not touch you. The score is a piece of behaviour disguised as a number, and it is unusually honest: it records what a person has actually done with money over years, not what they say about themselves in a survey.

2 The Man Behind the Number

The credit-score filter was not a marketing gimmick. Behind the number sat one specific person, whom the team could describe in remarkable detail before a line of code was written.

He was roughly 28 to 38 years old, working as a salaried professional or running something of his own in a metro, earning in the region of ₹10 lakh a year or considerably more. He owned two or three credit cards. He paid them off

in full every month — and, this is the part that matters, he was quietly proud of that, in a country where most credit is either informal or perpetually revolving. He found the actual act of paying the bill tedious and administrative: several bank apps, several due dates, no consolidated view, and no acknowledgement whatsoever from anyone that he had done the responsible thing.

Two more things complete him. He was aspirational about consumption in a specific, legible way — travel, restaurants, watches, sneakers, premium brands — and he was moved far more by exclusivity than by discounts. A cashback of ₹200 did not interest him. Being in something other people could not join did.

> **WORTH PAUSING ON**
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> Go back over the last two paragraphs with a pen and underline every line that tells you his age, his income or his city. Then look at everything you did not underline. Before you read on, write one sentence saying what kind of thing the un-underlined lines are describing — and which of the two halves you would rather have if you could only keep one.

3 Four Decisions Nobody Could Have Defended in a Spreadsheet

Take CRED's early choices one at a time. Almost all of them looked eccentric in 2018.

The app was dark. Almost every Indian consumer app that year was white, blue and busy, because white and blue read as trustworthy and busy reads as full of features. CRED shipped a dark, spare, nearly silent interface.

Membership was by invitation and gated on the score. CRED rejected the overwhelming majority of Indians who applied, in a way they would tell their friends about. A team optimising signups never approves that.

The rewards were not cashback. They were curated things — a hotel stay, a chef's dinner, a premium subscription, a brand voucher for something the customer already wanted. Cashback would have been cheaper per rupee of perceived value.

The copy said, in effect, that CRED is for people who pay their bills. It recognised him for something nobody had ever acknowledged, and it told everyone else they were not in the club yet.

Each of those four decisions cost the company something real and specific. Each one bought it something else. As you read them again, try to name — for each decision, in a few words — the line in Section 2 that made it obvious.

One later decision is worth adding because it shows the same thinking still running years on. CRED advertised heavily during the Indian Premier League, the most expensive advertising real estate in the country, with campaigns built on deliberately absurd celebrity casting rather than on product features. It also built a store, a rent-payment product and a lending product, each selling to a person whose tastes and creditworthiness the rewards catalogue had already mapped.

4 What It Grew Into, and What It Cost

By 2022 CRED had raised at a valuation reported around $6.4 billion, with roughly ten to twelve million members — a small user base by Indian standards and an enormous valuation per user. Revenue grew steeply, reported in the region of ₹1,400 crore in FY23 and around ₹2,400 crore in FY24. Losses, though narrowing, stayed substantial: reported in the region of ₹1,300 crore in FY23 and around ₹600 crore in FY24.

The money, when it came, came from the same place the product had. Lending to people with excellent credit. A savings and peer-lending product. Commerce aimed at exactly the tastes the rewards had already mapped. CRED spent years earning the trust of a customer it had described precisely, then sold that customer financial products only a highly creditworthy person could be offered.

It is also worth being concrete about how a rewards budget actually works, because it is easy to assume the perks are free marketing. They are not. A curated reward has a real cost, and the company either pays for it or negotiates it down from a brand that wants access to this specific customer. A hotel or a premium audio brand will discount heavily to get in front of twenty million people with excellent credit and expensive tastes, in a way it never would for a general audience.

5 The Mirror: The Person on the Other Side of the Loop

Rajan Bajaj, who had worked at Flipkart, founded slice in the mid-2010s. Its customer was, in almost every respect, the inverse of CRED's.

He — or she — was 22 to 28, in a first or second job, earning perhaps ₹25,000 to ₹60,000 a month, and had no credit history at all. Not bad credit. None. In credit terms this person is invisible: no score, no card, no file, and therefore no bank willing to underwrite them.

The industry calls this a **thin file**, and it is the largest single fact about Indian consumer credit. A lender decides by looking at what you did last time. With no last time there is nothing to look at, and the safest decision is to refuse. That refusal feeds itself — no credit without a history, no history without credit — and it locks out a whole generation entering the workforce.

The frustration was correspondingly different. CRED's customer was annoyed by administration. slice's customer was excluded outright. He wanted to buy a ₹30,000 phone and could not, because the only formal options were a loan he did not qualify for or a family member's card he did not want to ask for. What he did instead was a set of workarounds: borrowing a friend's card and transferring the money afterwards, asking a parent and taking the lecture that came with it, saving for four months, or borrowing informally at punishing rates.

6 The Opposite Product, Built the Same Way

Now watch the mirror image appear in the product. Small initial limits, sometimes a few thousand rupees, because the point was to start rather than to impress. Instalments as the default rather than as a feature, since paying ₹2,500 a month is comprehensible in a way that a ₹30,000 outstanding balance is not. A brightly coloured card and playful design, because this customer was not signalling wealth, he was signalling arrival. Approval in minutes using other kinds of data instead of a score, because a score is precisely what he did not have. And no exclusivity language anywhere, because telling this customer he might not qualify would reproduce the exact wound the product existed to heal.

The numbers went in a different direction too. slice reported millions of users and, in 2021, a funding round at a valuation above one billion dollars. Then in 2022 the Reserve Bank of India restricted the loading of prepaid instruments with credit lines, which broke the mechanics of a whole category of card-plus-credit products almost overnight, and slice restructured — moving toward a merger with a small finance bank to hold the licence it needed.

> **HOLD THIS THOUGHT**
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> Both of these companies described their customer with unusual precision, and only one of them was hit by a regulator. Before class, write one line on what a precise description of your customer *cannot* protect you

> from. It is a short list, and it matters.

7 Two Companies, One Industry, Opposite People

Read the two columns side by side, with the acquisition and revenue rows next to each other. Treat the figures as approximate and directional.

	CRED	SLICE
Who gets in	Credit score above 750 — roughly 20–25 million Indians, under two per cent of the population	No credit history at all — a far larger group, invisible to every existing lender
What annoys him	Administrative annoyance, and no recognition for good behaviour	Outright exclusion from formal credit
What sent him looking, on a particular day	A ₹500 late fee on a card he had forgotten, which felt less like a cost than an insult	A cracked screen and a dead camera, and a ₹30,000 phone he could not buy any other way
What got built	Dark spare interface, invitation-only entry, curated rewards, 'for people who pay their bills'	Small starting limits, instalments by default, bright playful card, approval in minutes on other kinds of data
Cost to acquire	High — premium brand campaigns, IPL-scale advertising, and rewards that are effectively paid marketing	Lower per user, but underwriting risk instead: some of these customers will not repay
Revenue per member	Very high potential — lending, savings and commerce to people with excellent credit	Modest per user, earned on interest, merchant fees and volume
The hard part	Convincing a customer who needs nothing to care at all	Lending money to someone nobody else will lend to, and being right
Reported scale	Around 10–12 million members; valuation reported near $6.4bn in 2022; FY24 revenue in the region of ₹2,400 crore with losses around ₹600 crore	Millions of users; a unicorn round in 2021; restructured after the RBI's 2022 restrictions on credit lines in prepaid instruments

Look hard at the row called *the hard part*. CRED's difficulty is that its customer has no unmet practical need at all — he can already pay his bills in his bank app in under a minute. slice's difficulty is arithmetical: its customer has an urgent, obvious need, and the whole challenge is being right about who will repay. Same industry, opposite problems.

And look at the acquisition row. CRED could justify extraordinary marketing spend, including IPL advertising, because a highly creditworthy member is worth a great deal once you sell them a loan. That arithmetic only works because the group was narrow. A company serving 'all Indians with credit cards' could not have priced its rewards or its advertising that way.

8 The Question This Case Sets Up

Somewhere inside CRED, in 2018, four people sat in a room and argued about whether the app should be dark or light, whether signup should be open or gated, whether the rewards should be cashback or a chef's dinner. Somebody won each of those arguments. The question is what they won them *with*.

It was not seniority, and it was not a market size estimate — 'twenty to twenty-five million Indians with scores above 750' has no opinion about the colour of an app. Something else was in that room, and whatever it was, slice had one too, and slice's said the opposite thing every single time.

That is what we will build in class: the thing that was in the room.

CASE B

Two Inches Taller

What mothers said they wanted, what they were actually afraid of, and the two brands that found out

READING TIME: 15–18 minutes

HOW TO READ THIS CASE

Two stories, both about Indian households, both about products almost certainly in your kitchen when you were a child. In each one, keep a running note of three separate things: **what the customer says out loud, what she does when nobody is presenting her with a questionnaire, and what she has never once said to anybody.** Pay closest attention to the places where those disagree.

One warning. The first story involves an industry that found a real fear in Indian parents and then sold to it for forty years, and you should finish the case unsure whether you approve. Hold on to that discomfort — we deal with it in the last part of the class.

1 A Category That Barely Exists Anywhere Else

For most of the second half of the twentieth century, Indian households bought a product category that exists in this form almost nowhere else in the world: the malted health-food drink. Horlicks, Complan, Bournvita, Boost — a powder, stirred into hot milk, given to children.

The category has been reported at several thousand crore rupees in annual sales, with Horlicks long described as a brand worth thousands of crores and the clear market leader, holding roughly half the segment in most years. These are powders sold at a substantial premium over their inputs — malted barley or wheat, milk solids, sugar, vitamins and minerals — with gross margins for branded players in the region of 50 to 60 per cent, and enormous advertising budgets sitting on top. *Gross margin* here just means what is left of the selling price after the cost of making the thing, before advertising and salaries.

Two transactions give you the scale. In 2019 Zydus Wellness acquired Heinz India's consumer brands, Complan among them, in a deal reported at roughly ₹4,595 crore. In 2020 Hindustan Unilever completed its acquisition of GlaxoSmithKline Consumer Healthcare India, whose principal asset was Horlicks, in a transaction reported at around ₹31,700 crore. Those are not the numbers of a marginal product. Somebody had understood something about the Indian mother very well.

2 Where These Brands Came From, and Why They Needed a New Argument

Horlicks was not invented for Indian children at all. It was created in the 1870s by two British brothers, James and William Horlick, who had emigrated to America and were looking for a digestible malted food for infants and invalids. It travelled to India with British soldiers, was manufactured here from the late 1950s, and was sold for years as a tonic for the weak and the recovering — 'the Great Nourisher'. Complan's name is a contraction of 'complete planned food', and it too began as a clinical, convalescent product.

Both brands therefore arrived in Indian homes with a medical vocabulary and a shrinking use case, because a country's children do not stay convalescent forever. To grow, they needed a reason for a perfectly healthy child to drink a glass of malted milk every day, and no amount of nutritional information was going to supply it.

3 The Question They Asked, and the Answer They Got

For decades the research question was the sensible one: *what do you want from a health drink for your child?*

The answer came back, in study after study, in words no researcher could argue with. Better nutrition. Something healthy. Something that helps him grow well. Something with vitamins, since he does not eat properly.

Every mother in every sample said a version of it. And every mother meant it.

4 What Sitting in Kitchens Found Instead

At some point the research changed shape. Not a questionnaire. Researchers sat in kitchens at the hour the drink was actually made. They went with mothers to paediatric appointments. They listened to what was said at family gatherings. And instead of asking about preferences in general, they asked about specific past events: tell me about the last time somebody commented on your son's height; tell me what happened at the last school function.

What that produced was not a picture about nutrition science. It was a picture about being watched.

Start with what she was looking at. Other children in her son's class, visibly, daily, at the school gate. The growth chart on the wall of the paediatrician's clinic, with its percentile lines. The annual class photograph, in which the children are arranged by height, permanently, in an object that gets kept in a cupboard for twenty years. Relatives at every family gathering — an aunt who says, kindly and devastatingly, that he seems small for his age; an uncle who compares him to a cousin. Advertisements showing bright, tall, energetic children. And, in a country where marriage and job prospects are still discussed in terms of physical presence, a constant low hum of adult conversation in which height is treated as an asset.

Now what she actually did, which is where the evidence lives. Measured him against the door frame, or a wall, with a pencil mark. Compared him to his cousins out loud. Asked the paediatrician a version of the growth question at almost every visit. Discussed it with other mothers, who were all conducting the same audit. Bought the drink — and went on buying it for years without ever verifying whether it worked.

> **WORTH PAUSING ON**
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> She has been buying this product every month for six years and has never once checked whether it did anything. Sit with that for a minute before you read on, because it is the most useful sentence in this case.
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> Now write down two things she has never said out loud to a researcher, an advertiser, or her sister-in-law. One should be a question she asks herself. One should be a feeling she would deny having if you asked her about it directly. Bring both to class.

5 What the Brands Advertised After That

Once that picture existed, the advertising changed, and the change is legible even to a viewer who has never read a single research report. The claims moved from the language of nutrition to the language of visible outcome, in the most literal terms available.

Complan promised for years that the child would grow — *twice as fast* was the claim in one long-running campaign — with children shown measuring themselves against a wall. Horlicks ran on a promise of taller, stronger, sharper, and reinforced it with something that mattered more than any commercial: free height and weight measurement, offered to mothers at camps and clinics. Bournvita moved toward preparation and winning.

Look closely at the measurement service, because it is the most elegant move in the case. The mother is already measuring her child against a door frame with a pencil. A brand that offers to measure him properly, and to tell her where he stands, has inserted itself into something she was doing anyway — and has taken over the most anxious minute in it.

Notice, too, what these campaigns never did. They did not tell a mother her child was behind. The child in the advertisement was already tall.

It is worth being precise about how the claims were regulated, because somebody in class will ask. Height and growth claims in this category have been challenged repeatedly in India — by the Advertising Standards Council of India and, in later years, under food-labelling and health-claim scrutiny — and the language has been softened over time, with several brands moving toward more careful phrasing about nutrition and growth support rather than promises of inches. Horlicks itself was repositioned after the Hindustan Unilever acquisition.

6 Vicks VapoRub: A Second Story, In a Different Room

The health-drink case can be misread as a lesson about mothers and children specifically, so here is a second story from a completely different aisle.

Vicks VapoRub is a mentholated ointment, sold in a small blue jar, and it has been in Indian households for generations. Ask the customer what she wants from it and the answer is functional and accurate: something that clears a blocked nose so the child can sleep.

Now look at the situation itself. It is 1am. The child cannot breathe properly. It is the middle of the night, there is no doctor to call at this hour without a decision she does not want to make, and there is very little she can actually do.

What she does is this: she applies the ointment to his chest, his back, sometimes the soles of his feet. And — the revealing part — she does it slowly, with her hands, sitting on the edge of the bed, often long after his nose has actually cleared.

> **HOLD THIS THOUGHT**
>
> She is still applying it after the blocked nose has stopped being blocked. Whatever she is doing in those extra minutes, it is not decongestion. Write one line, before class, on what it is — and then ask yourself whether a faster-acting tablet, which worked better on the nose, would have been a better product or a worse one.

This is why the product's advertising has for decades been about a mother's touch rather than about menthol concentration, and why the brand's later films about care — including the widely discussed Touch of Care campaign from 2017 onwards, which extended the idea of a mother's care to non-traditional families — worked as extensions of the same idea rather than as departures from it.

The financial shape of this business is worth contrasting with the health drinks. The jar is cheap, bought in small sizes, and sold through effectively every kind of Indian retail outlet from a chemist to a village kirana. Procter & Gamble's Indian healthcare business, of which it is a cornerstone, reports revenues in the thousands of crores. The money is made on permanence and volume: a product bought by three generations of the same family, kept in the

cupboard between illnesses, replaced without deliberation. Where the health drinks turned something into a premium, Vicks turned something into a habit — and a habit at low margin can be worth more over forty years than a premium at high margin over five.

7 The Question This Case Sets Up

In both stories, a company asked its customer a perfectly reasonable question and got a perfectly honest answer, and the honest answer was not what was actually happening. A brand that had listened only to the answer would have put a longer ingredient list on the pack, or built a faster-acting spray. Both of those would have been defensible, respectable, and much less valuable.

That is not because customers lie. Something else is going on, and it is going on in you too — which is why the second half of the class will be about your own last twenty-four hours rather than about anybody's mother.

And then there is the part that should bother you. Everything in this case made these companies better at finding a real fear in a real person, and the category then built on that fear for four decades, in a country where height and appearance are genuinely used to judge people. The finding was accurate. Whether what was done with it was defensible is a separate question, and you will be asked to argue it from both sides.

BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
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> Eight questions — four on each case. A line or two each is enough. Nothing here is collected or graded, but you will be asked for your answers, and 'I didn't think about it' is a much worse position to be in than a wrong answer.
>
> There are no model answers at the back of this document. That is deliberate.

On CRED and slice

1. **Take the four CRED decisions in Section 3** — the dark app, the invitation, the curated rewards, the copy about people who pay their bills. For each one, write the single line from Section 2 that makes it obvious. If you cannot find a line for one of them, say which one, and say what is missing.

2. **Here is a proposal.** Invite a friend to the app and you both get ₹250. Answer it twice: once as CRED's customer, once as slice's. Give a yes or a no in each case, and one sentence of reason. Then say what it would have taken to answer it if all you had been told was 'Indians with credit scores above 750'.

3. **Write a description of CRED's customer that would fit two hundred million Indians instead of twenty-five million.** It should still be completely true. Now say, in one line, what a company could no longer decide with your version.

4. **Somebody will argue in class that slice's customer had the better business** — a bigger group, an urgent need, and a product people actually needed rather than merely enjoyed. Make that argument in three sentences. Then make the argument against it.

On the health drinks and Vicks

5. **You have what the mother said: 'I want good nutrition for my child, he doesn't eat properly.'** Using only what is in Section 4, write down what she is asking herself, what she is feeling, and what she is doing. Three short lines. Then circle the two of your four lines that disagree with each other most.

6. **Pick two of these four and answer them honestly about yourself:** how you choose a restaurant, how you revise for an exam, how you choose earphones, how you choose what to watch tonight. For each, write what you would say decides it — and then what you know actually decides it. Bring both columns.

7. **The measurement camps.** A brand offered to measure your child's height and weight, free, and tell you where he stood. Write down what the mother got out of that which a bigger tin of powder could not have given her. Then say whether the brand should have been allowed to offer it.

8. **Was it legitimate to build forty years of advertising on a mother's fear about her child's height?** Write two sentences for yes and two for no. Come having decided which side you will defend first, and be prepared to be moved off it.

Bring your eight answers and at least one thing in these two cases that struck you as wrong, exaggerated or unfair. Both cases are written to make a point, and points that go unchallenged are worth very little.